The RBI is required to maintain a reserve equivalent of Rs. 200 crores in gold and foreign currency with itself, of which Rs. 115 crores should be in gold. This is being followed since 1957 and is known as the Minimum Reserve System (MRS).

Reserve Money

The gross amount of the following six segments of money at any point of time is known as the Reserve Money (RM) for the economy or the government:

1. RBI's net credit to the Government;
2. RBI's net credit to the Banks;
3. RBI's net credit to the commercial banks;
4. Net forex reserve with the RBI;
5. Government's currency liabilities to the Public;
6. Net non-monetary liabilities of the RBI.

RM = 1 + 2 + 3 + 4 + 5 + 6

As per the *Economic Survey 2012-13,* the rate of growth of reserve money comprising currency in circulation and deposits with RBI (bankers and others) decelerated from an average of 17.6 per cent in Q1 of 2011-12 to 4.3% in Q3 of 2012-13. Almost the entire increase in the reserve money of Rs. 2381 billion between Q3 of 2011-12 and Q3 of 2012-13 consisted of increase in *currency in circulation*. As sources of reserve money, net RBI credit to Government and increase in net financial assets of RBI contributed to the growth of *base money*.

Money Multiplier

At end March 2012, the *money multiplier* (ratio of M_3 to M_0) was 5.2, higher than end-March 2011, due to cumulative 125 basis point reduction in CRR. During 2012-13, the money multiplier generally stayed high reflecting again, the CRR cuts. As on **December 28, 2012**, the money multiplier was 5.5 compared with 5.2 on the corresponding date of the previous year *(Economic Survey 2012-13).*